

Conscientious issuing houses and intelligent investors should insist on their inclusion in all indentures.⁸

Anomalous Position of Preferred Stocks in This Connection. The position of preferred stocks in this matter is a somewhat peculiar one. Their holders have the same interest as have bondholders in the maintenance of an adequate amount of junior capital. But losses that result in a balance-sheet deficit will legally prevent the payment not only of common dividends but of preferred dividends as well. Hence the preferred stockholders are likely to be very anxious for a reduction in the stated value of the common stock, which will eliminate the profit-and-loss deficit and permit the resumption of dividends on their own shares. In such cases their interest in maintaining an adequate amount of junior capital is offset by their greater desire to make dividends possible. (At the close of 1921, for example, losses taken by Montgomery Ward had created a profit-and-loss deficit of \$7,700,000, which had compelled suspension of the preferred dividend. Accordingly holders of this issue welcomed a reduction in the stated value of the common stock from \$28,300,000 to \$11,400,000, which eliminated the balance-sheet deficit and thus permitted the resumption of the preferred dividends and discharge of the accumulations.)

This situation has even been exploited by the common stockholders to compel large concessions from the preferred holders in connection with a profit-and-loss deficit. A notorious example is the Central Leather reorganization plan, resulting in the formation of a successor company, United States Leather. As the price of their vote in favor of reducing the stated capital, the common stockholders forced the preferred holders to waive their back dividends and to reduce their cumulative right to future-dividends.⁹

⁸ Since this was written in 1934, it has come to be common practice to include such safeguards in new bond indentures. Not only is there a prohibition against the reduction of stated capital, but there is a tendency also to "freeze" the surplus as of the time of the bond issue, though often with some leeway. Examples: The Youngstown Sheet and Tube First 4% and Debenture 3½% indentures limit cash distributions to shareholders to earnings since Dec. 31, 1935, plus \$5,000,000. In the case of Koppers Company First and Collateral 4s, due 1951, distributions are limited to profits since Jan. 1, 1936, plus proceeds of sale of additional stock.

⁹ The International Paper and Power Company recapitalization of 1937, referred to in Note 2 of this chapter, involved a similar sacrifice by preferred stockholders. It was approved by the S.E.C. with considerable qualms and was cited by Commissioner Frank as a deplorable